

Summary of Terms: Senior Secured Term Loan

Lakeshore Community Bank (fictional) and Brightfield Manufacturing LLC (fictional). All names, figures, and addresses in this document are invented for teaching.

Page 1: Parties and Facility

Lender: Lakeshore Community Bank.

Borrower: Brightfield Manufacturing LLC.

Guarantor: Dana Whitfield, who gives an unlimited personal guarantee of the loan.

Facility: Senior secured term loan of \$4,500,000.

Purpose: Refinance existing equipment debt and fund the purchase of a new packaging line.

Closing date: October 15, 2026.

Maturity date: October 15, 2031. The unpaid balance of principal and interest is due in full on the maturity date.

Interest rate: Fixed at 6.75 percent per year.

Repayment: Monthly payments of principal and interest, calculated on a 20-year amortization schedule. The first payment is due November 15, 2026.

Origination fee: 1.00 percent of the facility, or \$45,000, payable at closing.

Late charge: 5 percent of any payment that is more than 10 days late.

Collateral: A first-priority lien on all equipment owned by the Borrower, and a first mortgage on the property at 200 Mill Road, Fairmont.

Page 2: Financial Covenants and Reporting

Debt service coverage: The Borrower will maintain a ratio of at least 1.25 to 1.00, tested annually at fiscal year end.

Leverage: Total funded debt to EBITDA will not exceed 3.50 to 1.00, tested annually at fiscal year end.

Liquidity: The Borrower will hold unrestricted cash of at least \$400,000, tested at the end of each quarter.

Annual reporting: Audited financial statements within 120 days after each fiscal year end.

Quarterly reporting: Unaudited financial statements within 45 days after each quarter end.

Compliance certificate: Delivered with every set of financial statements, signed by an officer of the Borrower, confirming compliance with each covenant.

Notices: The Borrower will notify the Lender within 5 business days of any default, and of any lawsuit seeking more than \$250,000.

Insurance: The Borrower will keep property insurance on the collateral and name the Lender as loss payee.

Page 3: Events of Default and General Terms

Each of the following is an event of default:

- The Borrower fails to make any payment when due.
- The Borrower breaches a financial covenant and does not cure the breach within 30 days after written notice from the Lender.
- The Borrower or the Guarantor makes a materially false statement to the Lender.
- The Borrower or the Guarantor becomes bankrupt or insolvent.
- A change of control of the Borrower occurs without the written consent of the Lender.

Remedies: On an event of default, the Lender may declare the entire unpaid balance due and enforce its rights against the collateral and the Guarantor.

Governing law: The laws of the State of Ohio.

Conditions to closing: Satisfactory appraisal of 200 Mill Road, evidence of insurance, executed guarantee, and delivery of the Borrower's most recent audited financial statements.

Expiration: This summary expires if the loan does not close by October 31, 2026.